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# Data Analysis of Minnesota State Housing Tax Credit Program

**Habitat for Humanity of Minnesota**

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# Minnesota State House Tax Credit Program

The Minnesota State Housing Tax Credit (SHTC) program is an innovative tool to expand funding for affordable housing construction across the state. The program allows corporate and individual taxpayers to contribute money to affordable housing development projects in exchange for state tax credits.

The program is considered a critical and innovative tool in leveraging private capital for affordable housing in Minnesota

## Program Overview

The State House Tax Credit Program was created ~~in 2023~~ to address Minnesota's persistent shortage of affordable housing. Administered by the Minnesota Housing Finance Agency, eligible Minnesota taxpayers may contribute between $1,000 and $2 million annually and receive a state tax credit equal to 85% of their contribution. Contributors may direct their contributions to a specific eligible housing project or allow their funds to be distributed through the General Contribution Pool.

While many state housing tax credit programs provide credits directly to housing developers, the Minnesota model encourages voluntary contributions from independent taxpayers to directly fund affordable housing construction.

The program has an annual tax credit allocation cap of $9.9 million, which has allowed approximately $11.65 million in contributions to be raised each year. The program includes a sunset provision to allow for future evaluation, which would cause the tax credit to expire after December 31, 2028.

Around 50 affordable housing developers have used SHTC funding, including 15 Habitat for Humanity Minnesota affiliates. For Habitat for Humanity Minnesota, analyzing SHTC data is relevant to understand how this new funding source is supporting affordable homeownership accross our state and understand how to better advocate for policy changes. This report will examine the most up-to-date SHTC data from 2023-2026 to assess the program.

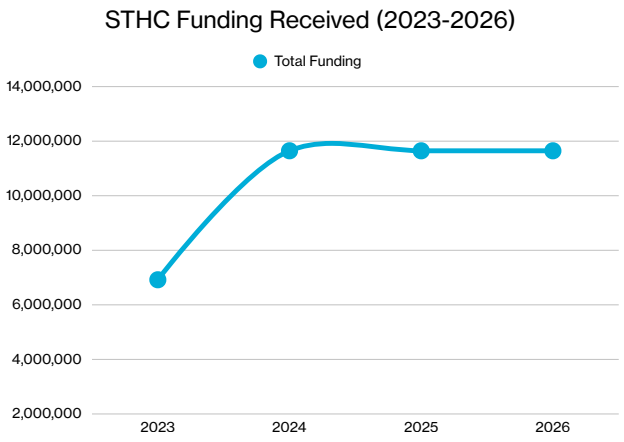
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# Evolution of the SHTC program (2023-2026)

The program has rapidly gained popularity across Minnesota since its launch. Because the program began in late October 2023, initial awareness and participation were limited. However, demand has grown significantly, with the program reaching its annual contribution cap of around **$11.65 million dollars** each year after 2023.

In 2023, only 15 developers received contributions Since then, participation has doubled to 33 developers, and nearly **116 affordable housing projects** have received partial or full SHTC funding. On average, affordable housing projects have received **$345,000** in SHTC funding




## The Cap is Reached Faster

**2023: $6.9 M in 70 days**

*The 2023 fund opened in October, vs. in February 2024–2026*

**2024: $11.6M in 290 days**

**2025: $11.6M in 53 days**

**2026: $11.6M in 2 hours**



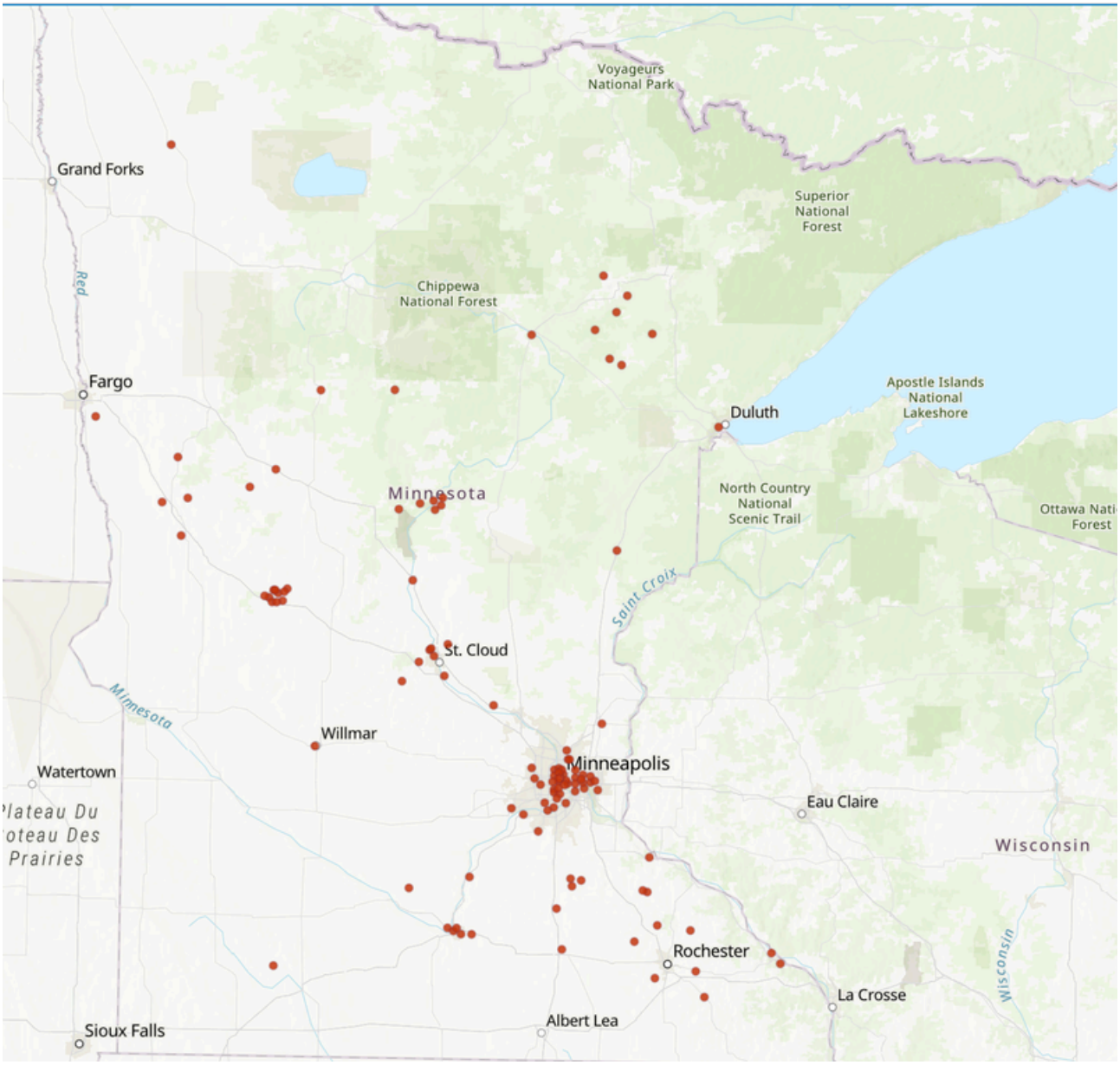
The program's growing demand is also reflected in how quickly it reaches its annual funding cap. What took nearly 10 months to fully allocate in 2024 was fully subscribed in two hours day in 2026.

This rapid increase in demand highlights the program's popularity and the need for affordable housing funding.

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# All 116 Affordable Housing Projects That Received SHTC Funding in Minnesota



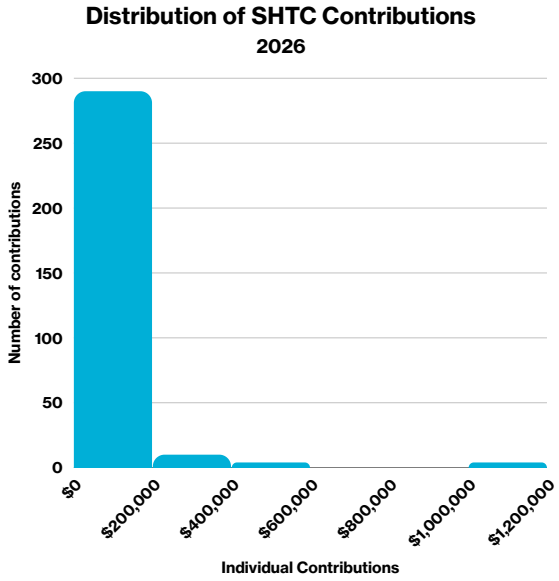
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# Profile and Patterns of SHTC Contributors

Since the program launched, more than **$40 million in taxpayer** contributions have been made through the program. Contributors include individuals and businesses. However, contribution patterns suggest most of the tax credit recipients are from **small to midsize entities rather than larger corporations.**

| Year | Most common Contribution | Median Contribution (The middle point contribution) |
|---|---|---|
| 2026 | $2,000 | $10,000 |




SHTC contributions can range from $1,000 to $2 million, however most contributions seem to be relatively small. In 2026, the most common contribution was $2,000 and the median contribution was $10,000. Additionally, 94% of all contributions in 2026 were under $200,000.

These trends suggest that the SHTC is an accessible locally generated source of funding for small and mid-sized entities rather than large corporations. SHTC Contributors likely are Minnesota residents, small local businesses, and community members who are supporting affordable housing projects in their communities.

## Contributors likely include...

- Neighbors and Community Members
- Small Local Businesses

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# Profile and Projects of SHTC Developers

Minnesota SHTC developers include eligible private developers, nonprofit organizations, cities, tribal entities, and housing authorities. After registering under Minnesota Housing, developers use the funds to support their affordable housing developments. Here are some of the developers and their own projects over the last 4 years.

CommonBond COMMUNITIES



**The Wilder Square Apartments| St.Paul**
136 affordable units for seniors, disabled and vulnerable adults

D.W.JONES MANAGEMENT



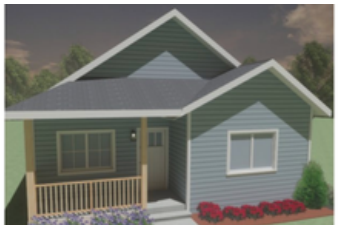
**The Edge | Thief River Falls**
A 65-unit multifamily housing building for the regional workforce (Coming 2027).

Jillpine



**Sandstone school redevelopment | Sandstone**
An old school building that was converted into 31 affordable apartments for the rural workforce.

Fergus Falls Area Habitat for Humanity®



**Pelican Rapids Viking Build | Fergus Fall**
Affordable single-family detached residential homes (Coming 2027)

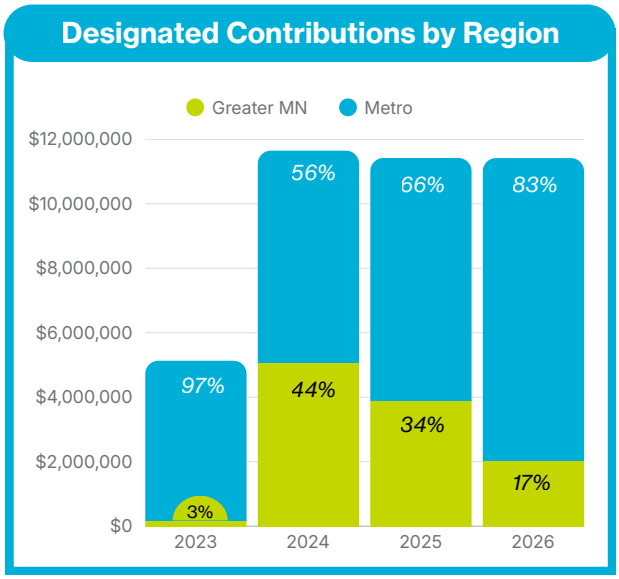
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# SHTC Geographical Distribution

## Geographical Imbalance

The distribution of SHTC funding shows a clear geographic imbalance between the Twin Cities metro area and Greater Minnesota. Looking at the program from 2024 onward, when it became fully operational, funding allocated to Metro/Twin Cities projects increased steadily each year, while funding for Greater Minnesota projects is seeing a yearly decline. Aggregating all years, projects in the Twin Cities have receive approximately **2.5 times more** funding than projects in Greater Minnesota.

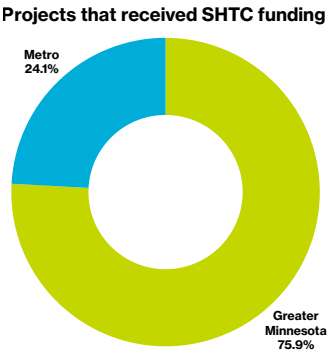



## Number of Projects vs Total Funding

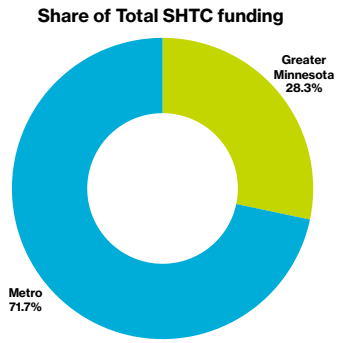
There is some important nuance in understanding the geographic distribution of SHTC funding.

A larger number of projects in Greater Minnesota have received SHTC funding compared to Twin Cities (88 projects vs 28 projects, respectively). However, Greater Minnesota projects have overall received a lower share of SHTC dollars compared to Twin Cities Projects (**$11.2 million vs $28.4 million, respectively)**.

This suggests that Greater Minnesota SHTC projects, though many, receive smaller contributions, while Twin Cities projects, though fewer, receive larger contributions.

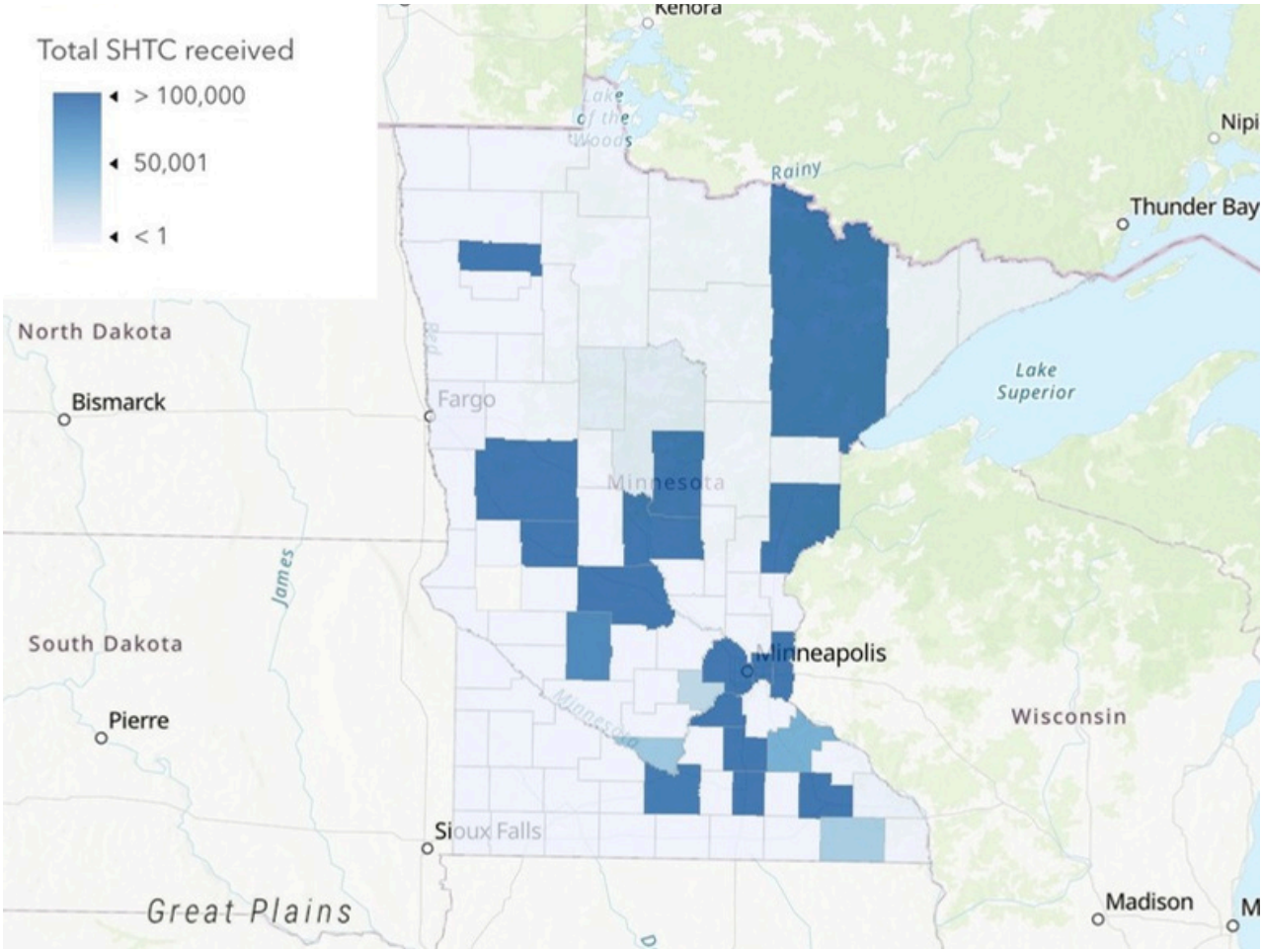



**VS**



# SHTC Funding

In this Heat map, darker regions indicate higher amounts of SHTC funding received, while lighter regions indicate little or no SHTC funding.



# Policy Implications and Advocacy Recommendations

This analysis provides strong evidence in support of the policy changes proposed in House File 3902 and Senate File 4044, including repealing the SHTC program's 2028 sunset provision and promoting greater geographic balance in funding allocations. Although the legislation was not passed in 2026, the findings of this report provide data-backed evidence to support these reforms.

### Extend the State Housing Tax Credit Program Beyond 2028

The last legislative session advocated for the extension of the Minnesota housing tax credit sunset, which was previously set to end after December 31, 2028.

The data analysis demonstrates strong and growing demand for the SHTC program from both affordable housing developers and contributors. Since its launch in 2023, annual allocations have reached the program cap increasingly quickly, with the entire 2026 allocation claimed in less than one day. Additionally, this data analysis suggests participation is driven largely by local small and mid-sized contributions, reflecting broad community support and demonstrating the program's success in leveraging private investment for affordable housing development

Given the consistent oversubscription and strong public support, the 2028 sunset provision should be extended. This would provide long-term stability for developers and ensure continued investment in affordable housing across the state.

### Promote Geographic Balance in SHTC Allocations

This analysis also highlights the need for greater geographic balance in the distribution of SHTC funding. While numerous projects in Greater Minnesota have received SHTC support, they have received a substantially smaller share of total funding compared to projects located in the Twin Cities metropolitan area. As a result, rural communities that face some of the greatest housing development challenges often have less access to this valuable fund.

Establishing a proportional geographic allocation set-aside would ensure that rural and Greater Minnesota communities have equitable access to SHTC funding.

Such a provision would support the development of affordable housing across all regions of the state. Geographic balance would strengthen the program's statewide impact and ensure that all Minnesotans can benefit from this locally generated investment in affordable housing.

# References

## SHTC Data Pivot Table

The data were summarized using a PivotTable based on data provided by Minnesota Housing through a data request. The PivotTable was accompanied by a PivotTableguide.

## Links

**Minnesota Housing Finance Agency – State Housing Tax Credit (SHTC) Contribution Fund**

- https://www.mnhousing.gov/home/shtc-contribution-fund?utm

**Minnesota Department of Revenue: State Housing Tax Credit**

- https://www.revenue.state.mn.us/state-housing-tax-credit-0?utm

**Minnesota Housing – State Housing Tax Credit Program and Contribution Fund Guide (PDF)**

- https://www.mnhousing.gov/sites/default/files/documents/State_Housing_Tax_Credit_Program_and_Contribution_Fund_Guide.pdf?utm

**Minnesota Housing / Minnesota Housing Partnership – 2024 SHTC Overview**

- https://www.mnhousing.gov/home/agency-news/2024-state-housing-tax-credit?utm

**House File 2335 (2023 Housing Legislation)**

- https://www.revisor.mn.gov/bills/93/2023/0/HF/2335/?body=house

**HF 3902 (2026)**

- https://www.revisor.mn.gov/bills/94/2026/0/HF/3902/?utm

**SF 4044 (2026)**

- https://www.revisor.mn.gov/bills/94/2026/0/SF/4044/?utm
- https://www.eidebailly.com/insights/alerts/2024/9/minnesota-state-housing-tax-credit

**Minnesota Housing Partnership SHTC Project Directory**

- https://mhponline.org/tax-credit-contribution-fund-projects/?utm_source